PUBLIC-RECORD SPONSOR SCREEN | DECISION BRIEF

Oil & Gas Sponsor Due-Diligence Shortlist

Ten companies and structures screened for legitimacy, operating evidence, investor-level performance evidence, and fit with a 2026 federal working-interest tax objective.

Bottom line: three sponsors merit a private-placement memorandum review. None is cleared for investment from public information alone, and only an offering-level review can establish whether a $200,000 investment receives the intended tax treatment.

Prepared October 10, 2026

California resident lens

EXECUTIVE DECISION

Advance three names; treat the rest as watchlist or comparison cases

3	5	2
Advance to PPM review	Watchlist: more proof required	Not suitable for IDC objective

Best public-evidence set: U.S. Energy Development Corporation (USEDC), MDS Energy Development, and Citizen Energy Ventures. Each still requires current offering documents, audited or independently verified program data, operator records, and tax counsel review.

Why USEDC leads

Longevity, scale, and archived fund updates provide more observable evidence than most private sponsors. A public quarterly update for a 2018 drilling fund reported 26 wells and an 8.30% trailing-12-month distribution rate in Q3 2023. That is useful evidence, not a complete lifetime return.

Why MDS remains relevant

Its historical SEC-registered programs disclosed prior drilling and distribution data, including 101 gross development wells and no dry holes through 2012. The evidence is unusually detailed but stale; current availability and later outcomes must be verified.

Why Citizen enters the shortlist

Its 2026 drilling fund is current, and the sponsor reports eight wells reaching production plus a team history of more than 300 horizontal wells. Those are sponsor claims carried by a newswire; investor-level realized returns remain unverified.

What “legit” does not mean

- An SEC filing is not SEC approval.
- A producing well does not prove investor profitability.
- A high drilling success rate does not prove attractive returns after fees, decline, and operating costs.
- A tax deduction can coexist with a poor investment.

Do not wire based on this screen. The report did not inspect a live data room, bank statements, audited fund financials, title opinions, reserve reports, insurance certificates, state well records for a named offering, or salesperson licensing.

Decision rule: proceed only if the current offering passes all four gates: (1) legal and sponsor identity, (2) operator and title, (3) economics under downside prices, and (4) tax structure for your exact entity and California return.

METHOD

Legitimacy, success, and tax fit were scored separately

Dimension	Weight	What counted as evidence	What did not count
Identity & regulatory footprint	25%	SEC prospectus or Form D, named entity, offering history, transparent structure	Website age, testimonials, or a filing treated as approval
Operating evidence	25%	Wells drilled/producing, asset sales, dated program updates, named basins/operators	Generic “proven geology” claims
Investor-level outcomes	30%	Distributions, realized multiple/internal rate of return, capital returned, dry-hole history	Production volume without costs; projected returns
Tax-objective fit	20%	Direct or unlimited-liability working-interest path; current-year drilling and placed-in-service facts	Royalty interests, bonds, or limited-liability funds assumed to generate active losses

Evidence grades

A SEC-level or independently observable.

B Detailed sponsor disclosure with specific, dated facts.

C General sponsor marketing or stale evidence.

D Material mismatch, aggressive claims, or unresolved risk.

Status definitions

Advance: request current PPM and data room.

Watchlist: evidence is too thin or old for PPM review without clarification.

Not suitable: structure does not meet the current IDC objective or risk is disproportionate.

Public-search limitation. “No enforcement action found” is not a clearance. Name collisions, sealed matters, local proceedings, regulatory databases, and private arbitration can be missed. A securities attorney should run entity, principal, broker, UCC, litigation, and bad-actor checks before subscription.

Research date and availability

Evidence was reviewed through October 10, 2026. Current offering availability was not verified live. Several candidates have strong historical records but no current offering confirmed in public sources.

TAX STRUCTURE

The federal deduction depends on the exact liability path; California sharply reduces the state benefit

Federal working-interest gate

IRS Publication 925 says an oil or gas working interest is not passive when held directly or through an entity that does not limit the taxpayer's liability. The exception does not require material participation, but the structure must actually preserve the relevant liability exposure.

Intangible drilling costs (IDCs) may be currently deductible under federal law if the taxpayer elects the treatment and the costs qualify. Tangible equipment may qualify for 100% bonus depreciation under current federal law when acquisition and placed-in-service rules are satisfied.

> **Do not accept "up to 100% deductible" as an answer.** Require the sponsor's expected IDC/TDC allocation, drilling timetable, entity diagram, tax opinion, and whether the K-1 will report the loss as nonpassive for the offered class.

California resident reality

California Franchise Tax Board Publication 1001 states that California does not allow the IRC Section 263(c) deduction for oil and gas IDCs paid or incurred on or after January 1, 2024. It also disallows percentage depletion for specified natural resources, including oil and gas wells, for tax years beginning on or after that date.

California also generally does not conform to federal bonus depreciation. The result is timing and basis differences, extra state adjustments, and a materially smaller first-year California deduction than the federal number advertised by sponsors.

> **Planning implication:** model federal and California returns separately. Never multiply a "100% federal deduction" by a combined federal-plus-California marginal rate.

Structure	Federal active-loss potential	California first-year fit	Primary risk
Direct / qualifying GP working interest	Potentially strong, subject to at-risk and other rules	Weak relative to federal	Unlimited liability; dry hole; cost overruns
Limited-liability fund interest	May be passive; verify class and entity	Weak relative to federal	Tax mismatch and fee drag
Mineral/royalty DST	Generally not an IDC play	Income/1031-oriented	Commodity and operator concentration
Issuer bond	No IDC deduction to bondholder	No IDC benefit	Credit, leverage, and liquidity

Tax analysis requires your CPA and tax counsel. At-risk limits, basis, alternative minimum tax preference treatment, excess business loss rules, financing, and the offering's drilling date can change the usable deduction.

SCORECARD

Ten candidates ranked by public evidence - not expected return

#	Candidate	Structure / objective fit	Evidence	Score	Status
1	**U.S. Energy Development Corp.**	Drilling funds; likely strongest IDC fit if GP class qualifies	Scale claims plus archived fund distributions	**8.4**	ADVANCE
2	**MDS Energy Development**	Historical GP/LP development programs	Detailed SEC program history; stale	**7.8**	ADVANCE
3	**Citizen Energy Ventures**	2026 drilling fund; GP tax path advertised	Current production claims; no realized fund returns found	**7.2**	ADVANCE
4	**Crown Exploration**	Historical GP/LP drilling funds	SEC history with successes and dry holes; old	**6.6**	WATCHLIST
5	**EnergyFunders**	Platform/funds; tax class varies	Reg D fund history and platform reporting	**6.1**	WATCHLIST
6	**Aresco**	Working interests / operating assets	Observable asset sale and production claims	**5.8**	WATCHLIST
7	**Eagle Natural Resources**	Direct participation funds/JVs	Large current portfolio claims; little independent return data	**5.5**	WATCHLIST
8	**NexPoint Energy DST**	Mineral royalties; 1031, not IDC	Institutional DST history; energy product is new	**5.4**	COMPARE
9	**Kingdom Exploration**	Introducer to direct working interests	Aggressive sponsor claims; no audited investor history found	**3.8**	HOLD
10	**Phoenix Energy One**	Issuer bonds; no IDC to investor	Public financial disclosure, but leverage/covenant concerns	**3.5**	NOT FIT

> **How to use the ranking:** it prioritizes diligence effort. It does not rank projected return, reserve quality, current availability, or suitability. A lower-ranked sponsor could offer a superior specific deal; a higher-ranked sponsor could offer a poor one.

Minimum evidence to move up

- Audited fund financials and realized, net-to-investor returns by vintage
- Independent reserve report tied to the offered wells
- State production and completion records

Automatic disqualifiers

- No PPM or refusal to disclose fees
- Guaranteed return or “can’t miss” language
- Wire instructions to an individual or unrelated entity
- Unverified title or operator identity

1 | STRONGEST CURRENT PUBLIC-EVIDENCE SET

U.S. Energy Development Corporation

ADVANCE SCORE 8.4

Verified public signals

- Founded in 1980; the company states it has invested in, operated, or drilled about 4,000 wells and deployed more than $4 billion for itself and partners.
- An archived 2018 Fund A quarterly update reported 26 partnership wells, $67.4 million of investor capital, a 1.52% quarterly distribution, and an 8.30% trailing-12-month distribution as of Q3 2023.
- A separate 2017 Fund B update reported 13 active, revenue-generating Eagle Ford wells.

What this proves

Operating scale and observable distributions across named historical funds. It is the best starting point in this set for requesting a full realized-track-record schedule.

What remains unproven

- Lifetime net internal rate of return (IRR), multiple on invested capital, and capital returned by vintage
- Current 2026 offering terms and availability
- Whether the offered class preserves the Section 469(c)(3) working-interest exception
- Fees, carried interests, acquisition markups, and related-party charges

> **Request first:** a complete fund-by-fund table showing invested capital, gross and net production, distributions, remaining reserve value, impairments, dry holes, and realized exits. Reconcile it to K-1s and audited financials.

Decision

Advance to PPM review, but do not infer a current 8% return from a single 2023 quarterly update. Production decline, oil prices, fees, and capital recovery matter.

Key sources

2026 company announcement with scale and history · 2018 Fund A Q3 2023 update · 2017 Fund B Q3 2023 update

MDS and Citizen show useful evidence with different gaps

2 MDS Energy Development

Historical SEC-registered development programs | Score 7.8

ADVANCE

An SEC-filed 2013 prospectus disclosed prior MDS-affiliated programs with 101 gross development gas wells and zero dry holes through December 31, 2012. It also disclosed capital and distribution multiples for 2008-2011 programs. This is unusually specific sponsor history.

MDS Energy Public 2013 Program S-1/A · MDS 2013-A Form 10-Q

Main limitation: the evidence is old. Later filings and current offering status must be located, and early production success is not the same as full-cycle investor return.

Request: audited updates for every program since 2013, including 2013-A's later reported losses and asset outcomes; current operator roster; GP-to-LP conversion mechanics.

3 Citizen Energy Ventures

2026 Anadarko drilling fund | Score 7.2

ADVANCE

A current October 2026 announcement says eight wells reached production, the 2026 fund targets interests in up to 12 Cherokee Formation wells, and the management team has drilled and completed more than 300 horizontal wells since 2012. The team also reports more than $100 million raised from institutional and prior investors to supplement the drilling schedule.

October 2026 fund and production announcement

Main limitation: the evidence is sponsor-supplied and does not provide net-to-investor returns, decline curves, drilling costs, or the full fee stack.

Request: current PPM; offering-specific type curves and state completion data; general-partner tax opinion; team deal attribution; actual vs. budget for 2025-2026 wells.

> **Comparative view:** MDS offers better historical disclosure; Citizen offers better current relevance. Neither should advance to subscription before offering-level economics are independently rebuilt.

Crown has transparent history; EnergyFunders has platform evidence but thin performance data

4 Crown Exploration

Historical Texas drilling programs | Score 6.6

WATCHLIST

A 2010 SEC prospectus described 73 prior joint ventures and about $294 million raised from outside investors. It disclosed both successful wells and failures: one three-well venture completed all three as producers, while another produced one well and plugged two dry holes before the producing well later became uneconomic.

Why that matters: the mixed outcome is more credible than a perfect success story. The prospectus also disclosed commissions, affiliate compensation, unlimited liability for general partners, and blind-pool risk.

Blocker: current operations and offerings were not established from public sources. Require evidence of continuity, current principals, later fund outcomes, and state production records.

Crown Exploration Fund I S-1/A

5 EnergyFunders

Digital platform and pooled oil/gas funds | Score 6.1

WATCHLIST

Its Yield Fund I raised about $2.5 million in its first Regulation D round and invested in producing and undeveloped working interests plus natural-gas-powered bitcoin mining. Earlier reporting described an online project platform and a 16-well project funded in 2015.

Why not advance yet: current offerings, realized investor returns, and tax classification vary by vehicle. Digital access and secondary-market technology do not establish asset quality.

Request: fund-level audited statements, current holdings, realized distributions, operator concentration, valuation policy, and exact K-1 treatment.

Yield Fund I background and tZERO trading announcement · Hart Energy platform profile

Aresco and Eagle show operating activity; investor economics remain opaque

6 Aresco

Working interests, drilling and production acquisitions | Score 5.8

WATCHLIST

Observable operating signals include a 2014 sale of nine East Texas Eagle Ford wells to Halcón Resources and a sponsor-reported production update from Oklahoma and Louisiana. Those events support that assets and operations existed.

Nine-well divestment announcement · Sponsor production update

Evidence gap: sale terms, net proceeds to investors, losses, and full portfolio performance are not public. Current offerings were not verified.

Request: realized transaction waterfall for the Halcón sale, all-vintage investor ledger, audited financials, current operator permits, and related-party fee schedule.

7 Eagle Natural Resources

Direct participation funds and operating subsidiary | Score 5.5

WATCHLIST

Eagle claims more than $125 million of assets under management, 376 producing wells across more than 95,000 acres, and more than 250 proved undeveloped locations. It describes direct asset ownership through joint ventures and an operating subsidiary.

Sponsor portfolio and investment description

Why the score is capped: the scale and success figures are sponsor claims. Public evidence of net returns, capital recovery, audited reserves, and downside performance was not found.

Request: third-party reserve reports; state lease and well schedules; fund-by-fund net IRR; proof of insurance; fee and markup reconciliation.

> **Shared issue:** real wells are necessary but not sufficient. Reconstruct net revenue interest, burdens, operating expenses, decline, capex calls, fees, and exit proceeds before judging success.

NexPoint is a credible 1031 comparison; Kingdom needs independent substantiation

8 NexPoint Energy DST

Mineral-rights Delaware statutory trust | Score 5.4

COMPARE

Launched in October 2026, the $18.844 million offering is reported to own about 1,277 net royalty acres tied to more than 200 producing wells and more than 300 undrilled locations in the Haynesville and Permian. The stated minimum is $100,000.

Strength: NexPoint reports a wider DST platform with more than $3.2 billion in gross real estate value across 36 programs since 2016.

Mismatch: this is a mineral-royalty and possible Section 1031 vehicle, not a direct drilling working-interest program. It does not deliver the same IDC/active-loss thesis.

NexPoint Energy DST launch announcement

9 Kingdom Exploration

Introducer / project screener, not operator or broker | Score 3.8

HOLD

The company says its founder’s experience dates to 1994 and that it sources, verifies, and negotiates direct working-interest projects. It explicitly says it is not a fund, broker, or operator.

Concern: public pages make aggressive return, tax-savings, and case-study claims. Independent evidence supporting those investor outcomes was not found in this screen.

Required before any engagement: identify the actual issuer and operator; verify the salesperson’s role and compensation; obtain offering documents; confirm state well history; validate every historical return claim.

Company role and direct-working-interest description · Sponsor performance claims and disclaimers

Phoenix Energy One offers credit exposure, not working-interest deductions

NOT FIT SCORE 3.5

What is publicly observable

Phoenix Energy One, formerly Phoenix Capital Group Holdings, has filed public offering materials and financial statements. Its 2026 prospectus describes unsecured Regulation D bonds with rates of 9% to 14% and maturities from one to eleven years.

That reporting footprint makes the issuer easier to analyze than many private sponsors. It does not make the bonds low-risk.

Why it fails this objective

- Bondholders do not own a working interest and do not receive the sponsor’s IDCs.
- The return is issuer credit exposure, not direct well economics.
- The 2026 prospectus says the company obtained a waiver for noncompliance with current-ratio and hedging covenants during parts of 2026.
- High coupon rates signal high credit risk, illiquidity, and subordination concerns.

> **Decision:** do not use Phoenix bonds as a substitute for the $200,000 working-interest tax strategy. Evaluate them only as a separate speculative-credit allocation with full capital-loss capacity.

Questions if considered separately

- Debt seniority and collateral
- Asset coverage under downside reserve values
- Interest coverage after hedges
- Maturity wall and refinancing dependence
- Related-party transactions
- Liquidity and transfer restrictions

August 2026 prospectus and covenant disclosures · 2025 S-1/A and financial statements

DILIGENCE GATE 1

Demand the documents before discussing projected return

1 Current PPM and subscription package

Exact issuer, offering exemption, investor class, use of proceeds, fees, conflicts, transfer limits, and risk factors.

2 Entity and principal verification

Secretary of State good standing, ownership, affiliates, litigation, bankruptcies, bad-actor questionnaires, UCC liens.

3 Salesperson and compensation

BrokerCheck/IAPD where applicable; written commission, placement, referral, and wholesaler compensation.

4 Tax opinion for the offered class

IDC election, Section 469(c)(3), at-risk exposure, basis, AMT, excess business loss, drilling deadline, and California adjustments.

5 Title and joint operating agreement

Leasehold schedule, title opinion, net revenue interest, working interest, royalties, burdens, depth limitations, and payout provisions.

6 Independent reserve report

Named engineer, effective date, price deck, proved developed/undeveloped split, type curves, differentials, operating costs, abandonment.

7 State well and operator record

Permit, completion, production, violations, plugging, and bonding records for the named wells and operator.

8 All-vintage sponsor track record

Every program, not selected winners: invested capital, wells, dry holes, distributions, write-downs, exits, net IRR, and multiple.

9 Insurance and liability

Control-of-well, pollution, general liability, workers' compensation, limits, exclusions, deductibles, and who is insured.

10 Cash controls and reporting

Escrow, bank account ownership, invoices, AFE-to-actual reporting, revenue statements, K-1 timing, and audit rights.

> **Walk-away rule:** if the sponsor will not provide the PPM, fee schedule, offering-specific reserve work, title support, operator history, and all-vintage track record before funding, stop.

The SEC's private oil-and-gas investor alert warns against guaranteed returns, abnormally high rates, urgency, and unclear use of proceeds. Ask how much capital reaches drilling versus commissions, overhead, affiliate payments, and unrelated expenses.

SEC Investor Alert: Private Oil and Gas Offerings

DILIGENCE GATE 2

Rebuild the economics from the well level

Input	Base case	Downside test	Evidence required
Oil / gas price	Sponsor deck	-$15/bbl oil; -30% gas	Unhedged and hedged price realization
Initial production	Type curve	-25%	Offset wells and state production data
Decline	Engineer curve	Faster first-24-month decline	Vintage curves by formation/operator
Drilling & completion	AFE	+15% overrun	Three recent AFE-to-actual reconciliations
Lease operating expense	Budget	+20%	Historical invoices and per-BOE trend
Net revenue interest	PPM schedule	All burdens included	Title opinion and division order
Uptime / curtailment	Sponsor assumption	10% downtime	Gathering, processing, water and takeaway terms
Exit / terminal value	Reserve value	Zero exit premium	Market comps and plugging liability

Three returns to calculate

1. **Pre-tax net IRR** after every sponsor fee and capital call.
2. **After-tax federal IRR** using your actual deduction timing and recapture.
3. **After-tax combined IRR** with separate California adjustments.

Three loss cases

1. **Dry / uneconomic well** and full loss.
2. **Producing but poor** well that never returns capital.
3. **Operator distress** with shut-in, liens, or replacement costs.

> **Tax-adjusted cost is not downside protection.** A deduction reduces after-tax loss only to the extent it is usable. It does not change geology, commodity prices, operating leverage, or sponsor behavior.

$200,000 sizing discipline

Do not let the target deduction dictate the investment amount. First establish the maximum capital you can lose. If the strategy remains appropriate, diversification across multiple independent operators, formations, and drilling vintages is more defensible than one project - but only after each offering independently passes diligence.

ACTION PLAN

A two-stage process keeps the tax deadline from driving a bad investment

Stage 1 - Request package

1. **USEDC:** current offering, all-vintage track record, audited fund financials, and GP tax opinion.
2. **MDS:** post-2013 program outcomes, current entity/principal continuity, and any open offering.
3. **Citizen:** 2026 PPM, 2025-2026 actual-vs-budget well data, and operator state record.
4. **Tax team:** federal/California model for exact entity class, including AMT, at-risk, excess business loss, and recapture.

Stage 2 - Independent verification

5. Attorney verifies issuer, securities exemption, salesperson, title, liabilities, insurance, and conflicts.
6. Petroleum engineer rebuilds reserves and type curves from state data.
7. CPA reconciles sponsor tax forecast to the PPM and your 2026 return.
8. You compare pre-tax downside returns with liquid alternatives; tax savings cannot rescue a negative-NPV deal.

> **Timing warning:** a year-end contribution alone does not guarantee a 2026 deduction. Verify when qualifying IDCs are paid or incurred, when drilling begins, whether tangible assets are placed in service, and how the partnership closes its books.

Recommended decision posture

Advance: USEDC, MDS, Citizen. **Keep in reserve:** Crown, EnergyFunders, Aresco, Eagle. **Use only for structural comparison:** NexPoint. **Hold:** Kingdom until the actual issuer/operator and track record are independently verified. **Exclude from IDC plan:** Phoenix bonds.

The highest-value next document is not another sponsor brochure. It is a standardized data request sent to the three advanced candidates, followed by a line-by-line comparison of their PPMs and realized program records.

SOURCES

Public evidence used in the screen

Federal tax. IRS Publication 925 (2025), working-interest exception; 26 CFR 1.612-4, IDC election; IRS Notice 2026-11 summary, bonus depreciation.

California tax. FTB Publication 1001 (2025), IDC and percentage-depletion nonconformity.

Investor protection. SEC private oil and gas offering alert.

USEDC. 2026 deployment announcement; 2018 Fund A update; 2017 Fund B update.

MDS. 2013 S-1/A; 2013-A 10-Q.

Citizen. 2026 drilling-fund update.

Crown. Fund I S-1/A.

EnergyFunders. Yield Fund I announcement; Hart Energy profile.

Aresco. Nine-well sale; Sponsor production update.

Eagle Natural Resources. Sponsor portfolio page.

NexPoint. Energy DST launch.

Kingdom. Role and offering description; performance claims.

Phoenix Energy One. 2026 prospectus; 2025 S-1/A.

> **Evidence labeling.** Company announcements and sponsor websites are treated as sponsor claims unless independently corroborated. Historical SEC disclosures establish what was filed at the time, not current condition or regulatory approval.

Scope limitation

This report is educational and is not investment, legal, tax, accounting, engineering, or background-check advice. It does not verify live availability or recommend a security. Private oil and gas interests can lose all capital, create capital calls and liabilities, and remain illiquid indefinitely.